

# 5.3 Options versus Futures ↕

Summary: Options vs Futures

|            | Futures              | Options                         |
|------------|----------------------|---------------------------------|
| Obligation | Must deliver/receive | Right, not obligation           |
| Downside   | Perfect hedge        | Floor protection (less perfect) |
| Upside     | Capped               | Preserved                       |
| Cost       | Margin deposits      | Premium upfront                 |
| Cash Flow  | Daily volatility     | One-time payment                |
| Best For   | Price certainty      | Insurance + flexibility         |

Managerial Insight:

Use futures for survival, options for insurance. Options solve futures' opportunity cost problem but require premium budgeting.

Comparison Table

|                | Futures                | Options                            |
|----------------|------------------------|------------------------------------|
| Commitment     | Obligation to buy/sell | Right (not obligation) to buy/sell |
| Upfront Cost   | Margin (Refundable)    | Premium (Non-refundable)           |
| Payoff Profile | Symmetric (Linear)     | Asymmetric (Limited loss)          |

|                  |                                       |                                |
|------------------|---------------------------------------|--------------------------------|
| Downside Risk    | Loss if market moves against position | Limited to premium (for buyer) |
| Upside Potential | Typically forfeited for hedger        | Largely retained               |

## Strategic Conclusions

Risk management is not about predicting the future; it is about reshaping payoffs to ensure business survival.

Futures provide absolute stability but require liquid cash to manage daily margin volatility.

Options act as a safety net (insurance), allowing for growth if the market improves, but they involve a real, non-refundable cost.

## Suggested Further Reading

ASX Derivatives Education: Detailed specifications for Australian financial and commodity contracts. <https://www.asx.com.au/markets/trade-our-derivatives-market/overview/equity-derivatives>  [\\_ \(https://www.asx.com.au/markets/trade-our-derivatives-market/overview/equity-derivatives\)](https://www.asx.com.au/markets/trade-our-derivatives-market/overview/equity-derivatives)

<https://www.asx.com.au/investors/learn-about-our-investment-solutions/asx-options-knowledge-hub>  [\\_ \(https://www.asx.com.au/investors/learn-about-our-investment-solutions/asx-options-knowledge-hub\)](https://www.asx.com.au/investors/learn-about-our-investment-solutions/asx-options-knowledge-hub)

Hedging: <https://www.investopedia.com/trading/hedging-beginners-guide/>  [\\_ \(https://www.investopedia.com/trading/hedging-beginners-guide/\)](https://www.investopedia.com/trading/hedging-beginners-guide/)

Futures contracts vs options: <https://www.investopedia.com/ask/answers/difference-between-options-and-futures/>  [\\_ \(https://www.investopedia.com/ask/answers/difference-between-options-and-futures/\)](https://www.investopedia.com/ask/answers/difference-between-options-and-futures/)